was approved. This would also be permitted only under the approval route.

(v) ECBs for interest during construction (IDC) that accumulates on a loan during the project execution phase for companies in the infrastructure sector would be permitted. This would be subject to the condition that the IDC is capitalised and is part of the project cost.

(vi) Renminbi (RMB) – the Chinese currency – was approved as an ***acceptable currency*** for raising ECBs subject to/limit of US $ 1 billion within the existing ECB ceiling (allowed only through the approval route).

(vii) The existing ***ECB limits*** under the automatic route were enhanced from US $ 500 million to US$ 750 million for eligible corporates. For borrowers in the *services sector,* the limit has been enhanced from US$ 100 million to US$ 200 million and for *NGOs* engaged in *micro-finance* activities from the existing US$ 5 million to US$ 10 million.

(viii) INR (rupee) denominated ECBs would be permitted from foreign equity holders to 'all eligible borrowers' except in the case of ECBs availed of by NGOs under the automatic route.

During the financial year ***2012-13*** the external commercial borrowings (ECB) policy was further liberalized via the following steps –

- Enhancing the limit for refinancing rupee loans through ECB from 25 per cent to 40 per cent for Indian companies in the power sector;
- Allowing ECB for capital expenditure on the maintenance and operation of toll systems for roads and highways so long as they are a part of the original project subject to certain conditions, and also for low cost housing projects;
- Reducing the withholding tax from 20 per cent to 5 per cent for a period of three years (July 2012 - June 2015) on interest payments on ECBs;
- Introducing a new ECB scheme of US $10 billion for companies in the manufacturing and infrastructure sectors;